

MS6621 Midsem Notes

Chapter 1 - The Nature and Purpose of Accounting

Introduction

- An organisation has four types of **accounting information**:
 - (1) **operating information**, which has to do with the details of operations;
 - (2) **management accounting information**, which is used internally for planning, implementation, and control;
 - (3) **financial accounting information**, which is used both by management and by external parties;
 - (4) **tax accounting information**, which is used to file tax returns with taxing authorities.
- Criteria for Accounting principles: Relevance, Objectivity, Feasibility.
- Objectivity provides reliability, trustworthiness and verifiability.

The Balance Sheet

- Liabilities are owed to **Creditors**.
- Owners' equity = Total paid-in capital (amount given by investors) + Retained earnings.
- **Dual-Aspect Concept**: The assets that remain after the liabilities are taken into account will be claimed by the equity investors.
- Total Assets = Liabilities + Owners' Equity.
- The above equation is balanced, hence the name balance sheet.
- The term **net assets** is sometimes used instead of **Owners' Equity**.

Income Statement

- Revenue - Expenses = Net Income
- Gross Margin = Sales revenue - Cost of sales
- Income before taxes = Gross margin - Operating expenses

Package of Financial reports

- Accounting “report package” consists of a balance sheet at the beginning of the accounting period, an income statement for the period, and a balance sheet at the end of the period.
- Dividends are deducted from Retained Earnings because dividends are a distribution of earnings to owners.

- Dividends are not an expense.

Chapter 2 - Basic Accounting Concepts: The Balance Sheet

Basic Concepts

Widely accepted and practised 11 Accounting concepts:

1. Money measurement
2. Entity
3. Going concern
4. Cost
5. Dual aspect
6. Accounting period
7. Conservatism
8. Realisation
9. Matching
10. Consistency
11. Materiality

Money Measurement Concept

In financial accounting, a record is made only of information that can be expressed in monetary terms.

Entity Concept

Accounts are kept for entities, as distinguished from the persons who are associated with these entities. An entity is any organisation or activity for which accounting reports are prepared.

Going Concern Concept

Unless there is good evidence to the contrary, accounting assumes that an entity is a going concern—that it will continue to operate for an indefinitely long period in the future.

Cost Concept

- **Fair value** is the amount at which an asset could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

- An asset is ordinarily entered initially in the accounting records at the price paid to acquire it—at its **cost**.
- In accounting, all assets are initially recorded at their cost. (For emphasis, this is also referred to as an asset's **historical cost**.)
- The term **book value** is used for historical cost amounts shown in accounting records.
- **Amortization** is an accounting technique used to periodically lower the book value of a loan or an intangible asset over a set period of time.
- Concerning a loan, amortization focuses on spreading out loan payments over time. When applied to an asset, amortization is similar to depreciation.
- **Monetary assets** are initially recorded at their cost and, in the case of most monetary assets, subsequently accounted for at their fair value.
- **Goodwill** appears in the accounts of a company only when the company has purchased another company.

Dual Aspect Concept

- The economic resources of an entity are called **assets**.
- The claims of various parties against these assets are called **equities**.
- There are two types of equities:
 - **liabilities**, which are the claims of creditors (that is, everyone other than the owners of the business), and
 - **owners' equity**, which is the claims of the owners of the business.
- Owners' equity for an incorporated business is commonly called **shareholders' equity**.
- Fundamental Accounting Equation

$$Assets = Liabilities + Owners' Equity$$

- Events that affect the numbers in an entity's accounting records are called **transactions**.
- Every transaction has a dual impact on the accounting records. Accounting systems are set up to record both of these aspects of a transaction; this is why accounting is called a **double-entry system**.
- Every transaction recorded in the accounts affects at least two items.

The Balance Sheet

- The financial position of an accounting entity as of a specified moment in time is shown by a balance sheet.
- Its more formal name is a **statement of financial position**.
- **Book Value** is the amount shown in the Balance Sheet.

Assets

- Assets are economic resources that are controlled by an entity and whose cost (or fair value) at the time of acquisition could be objectively measured.
- The four key points in this definition are:
 1. an asset must be acquired in a transaction,
 2. an asset must be an economic resource,
 3. the resource must be controlled by the entity, and
 4. its cost (or fair value) at the time of acquisition must be objectively measurable.
- On most business balance sheets, assets are listed in decreasing order of their liquidity.
- Current assets are almost always reported in a separate category.
- All **non-current assets** may be reported together or in various groupings such as “**property, plant, and equipment**” and “**other assets.**”

Current Assets

1. **Cash**
2. **Marketable Securities:** Investments that are both readily marketable and expected to be converted into cash within a year. Basically the short-term use of the excess cash.
3. **Accounts Receivables**
 1. Notes Receivables
 2. Other Receivables
4. **Inventories**
5. **Prepaid Expenses**
 1. Insurance, etc.

Property, Plant and Equipment

- Also called as **Fixed Assets**, usually tangible and long lived.

Other Assets

- **Investment:** Usually in other companies for long-term.
- **Intangible Assets**
 - Goodwill
 - Patents
 - Copyrights
 - Trademarks
 - Franchises

Liabilities

- Liabilities are obligations to transfer assets or provide services to outside parties arising from events that have already happened.

Current Liabilities

- ****Accounts Payable**
 - Notes payable/ Short-term loans
- **Taxes Payables**
 - Interest Payable
 - Wages Payable
- **Accrued Expenses**
- **Deferred Revenue / Unearned Revenue**
- **Current Portion of long-term debt**

Other Liabilities

- Non-current liabilities/ long-term debt

Owners' Equity

- Amount owners have invested in the company.
- Also referred as share holders' equity/ stock holders equity.

Paid-in Capital/ Contributed Capital

- **Capital Stock:** Number of Shares * Par value
- **Additional Paid-in Capital**

Retained Earnings

- The difference between the total earnings of the entity from its inception to date and the total amount of dividends paid out to its shareholders over its entire life.

Current Ratio

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

- A CR of 2 or more is desirable.

Chapter 3 - Basic Accounting Concepts: The Income Statement

Basic Concepts

The Accounting Period Concept

- Accounting measures activities for a specified interval of time, called the accounting period.

$$Revenue - Expenses = Net Income$$

The Conservatism Concept

- Recognise revenues (increases in retained earnings) only when they are reasonably certain.
- Recognise expenses (decreases in retained earnings) as soon as they are reasonably possible.
- Accrued revenue: Earned by the entity but have not yet been paid to the entity.

The Realisation Concept

- The realisation concept states that the amount recognised as revenue is the amount that is reasonably certain to be realised—that is, that customers are reasonably certain to pay.

The Matching Concept

- When a given event affects both revenues and expenses, the effect on each should be recognised in the same accounting period.

Recognition of Expenses

Gains and Losses

The Consistency Principle

- Once an entity has decided on one accounting method, it should use the same method for all subsequent events of the same character unless it has a sound reason to change methods.

The Material Concept

- Insignificant events may be disregarded, but there must be full disclosure of all important information.

The Income Statement

The accounting report that summarises the revenues and the expenses of an accounting period. Also called as the profit and loss statement, statement of earnings, or statement of operations.

Chapter 11 - The Statements of Cash Flow

The Cash Flow Statement

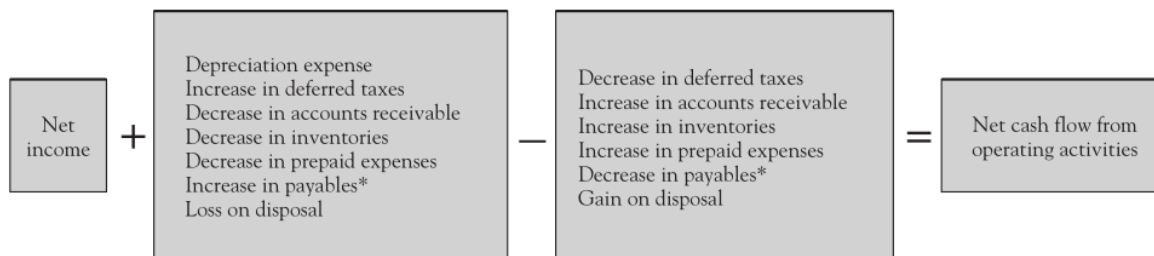
Statement Categories

Operating Activities

Investing Activities

Financing Activities

ILLUSTRATION 11-4 Calculating Operating Cash Flow from Net Income



* Includes accounts payable, wages payable (accrued wages), interest payable (accrued interest expense), and taxes payable; does not include notes payable, short-term borrowings, or current portion of long-term debt.

Chapter 13 - Financial Statement Analysis

Business Objectives

Return on Investment

ROI is broadly defined as net income divided by investment. The term investment is used in three different senses in financial analysis, thus giving three different ROI ratios:

- **return on assets:**
- **return on owners' equity**
- **return on invested capital**

Overall Measures

Return on Investment

Investment Turnover and Profit Margin

Price/Earning Ratio

$$P/E \text{ Ratio} = \frac{\text{Market price per share}}{\text{Net income per share}}$$

Profitability Ratios

Investment Utilisation Ratios

Investment Turnover

Asset Turnover

$$\text{Asset turnover} = \frac{\text{Sales revenue}}{\text{Total Assets}}$$

Invested Capital Turnover

$$\text{Invested capital turnover} = \frac{\text{Sales revenue}}{\text{Invested capital}}$$

Equity Turnover

$$\text{Equity turnover} = \frac{\text{Sales revenue}}{\text{Shareholders' equity}}$$

Capital Asset Intensity/ Fixed Asset Turnover

$$\text{Capital asset intensity} = \frac{\text{Sales Revenue}}{\text{Property, plant, equipment}}$$

Working Capital Measures

Velocity with which funds move through the various current accounts.

Working Capital Turnover

$$\text{Working capital} = \text{Current assets} - \text{Current liabilities}$$

$$\text{Working capital turnover} = \frac{\text{Sales revenue}}{\text{Working capital}}$$

Days' Payable

$$\text{Days' payables} = \frac{\text{Operating payables}}{\text{Total pretax expenses}/365}$$

Financial Condition Ratios

- **Liquidity:** refers to the company's ability to meet its current obligations.
- **Solvency:** pertains to the company's ability to meet the interest costs and repayment schedules associated with its long-term obligations.

Dividend Policy

Dividend Yield

$$\text{Dividend Yield} = \frac{\text{Dividend per share}}{\text{Market price per share}}$$

Dividend Payout

$$\text{Dividend payout} = \frac{\text{Dividends}}{\text{Net income}}$$

Summary of Ratios

Overall Performance Ratios

$$P/E \text{ ratio}(\text{times}) = \frac{\text{Market price per share}}{\text{Earnings per share}}$$

$$\text{Return on Assets}(\%) = \frac{\text{Net income}}{\text{Total assets}}$$

$$\text{Return on invested capital}(\%) = \frac{\text{Net income}}{\text{Long-term liabilities} + \text{Shareholders' equity}}$$

$$\text{Return on equity}(\%) = \frac{\text{Net income}}{\text{Shareholders' equity}}$$

Tests of Investment Utilisation

$$\text{Asset turnover}(\text{times}) = \frac{\text{Sales revenue}}{\text{Total assets}}$$

$$\text{Invested capital turnover}(\text{times}) = \frac{\text{Sales revenue}}{\text{Long-term liabilities} + \text{Shareholders' equity}}$$

$$\text{Equity turnover}(\text{times}) = \frac{\text{Sales revenue}}{\text{Shareholders' equity}}$$

$$\text{Capital intensity / Fixed assets turnover}(\text{times}) = \frac{\text{Sales revenue}}{\text{Property, plants, and equipments}}$$

$$\text{Days' cash} = \frac{\text{Cash}}{\text{Cash expenses}/365}$$

$$\text{Days' receivables} = \frac{\text{Accounts receivables}}{\text{Sales revenue}/365}$$

$$\text{Days' inventory} = \frac{\text{Inventory}}{\text{Cost of sales}/365}$$

$$\text{Inventory turnover} = \frac{\text{Cost of sales}}{\text{Inventory}}$$

$$\text{Working capital turnover} = \frac{\text{Sales revenue}}{\text{Working capital}}$$

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$\text{Acid – test(Quick) ratio} = \frac{\text{Monetary current ratio}}{\text{Current liabilities}}$$

Profitabilty Measures

$$\text{Gross margin percentage(\%)} = \frac{\text{Gross margin}}{\text{Total sales revenue}}$$

$$\text{Profit margin(\%)} = \frac{\text{Net income}}{\text{Total sales revenue}}$$

$$\text{Earnings per share(Dollars)} = \frac{\text{Net income}}{\text{Number of shares}}$$

$$\text{Cash realisation(times)} = \frac{\text{Cash generated by operations}}{\text{Net income}}$$

Test of Dividend Policy

$$\text{Dividend yield(\%)} = \frac{\text{Dividends per share}}{\text{Market price per share}}$$

$$\text{Dividend payout} = \frac{\text{Dividends}}{\text{Net income}}$$